POST OFFICE MONTHLY INCOME SCHEME

Post Office Monthly Income Scheme is a special scheme managed by the Post Office to support those who need a stable source of income. We deposit our money under this scheme, and interest is paid out each month. The principal can be redeemed at the end of the tenure. We can also, opt for the distribution of the principal. This means, interest and principal will be distributed as monthly payments and the corpus will exhaust at maturity. The monthly payments can be used to meet expenses. Let us understand the important features of the same –

INTEREST	As of May 2020, POMIS offers an interest return of 6.6% p.a., payable monthly. We can also opt for a payout for Principal in an amortized manner.
TENURE	POMIS comes in with a maturity of 5 years.
TAX TREATMENT	POMIS offers no favorable tax treatment. It is not deductible under Section 80C and also interest is taxable under ordinary income tax bracket.
SUITABILITY	POMIS is suitable for those who rely on assets more than income. This includes mainly senior citizens who have retired. There are private mutual funds as well that offer Monthly Income Schemes. So, for lower risk-taking ability, POMIS is the way to go and for those with high risk-taking ability, they can evaluate other schemes as well. Monthly Income Scheme comes in very handy when regular income has stopped- For instance, for retired senior citizens. These can be combined with SCSS to meet post-retirement goals exceptionally well.
PURPOSE	POMIS is mainly run with an incentive to provide a tool to promote the Protection of Capital. It also helps those who rely on assets to meet their expenses rather than their active income. It provides a constant monthly inflow of cash.
PREMATURE WITHDRAWAL	Within 1 year, premature withdrawal is impossible. Between 1 year and 3 years, the entire corpus can be returned with a penalty of 2%. Between 3 years and 5 years, the entire corpus can be returned with a penalty of 1%.
HOW TO BUY	They can only be opened with a post office by visiting the same offline.